

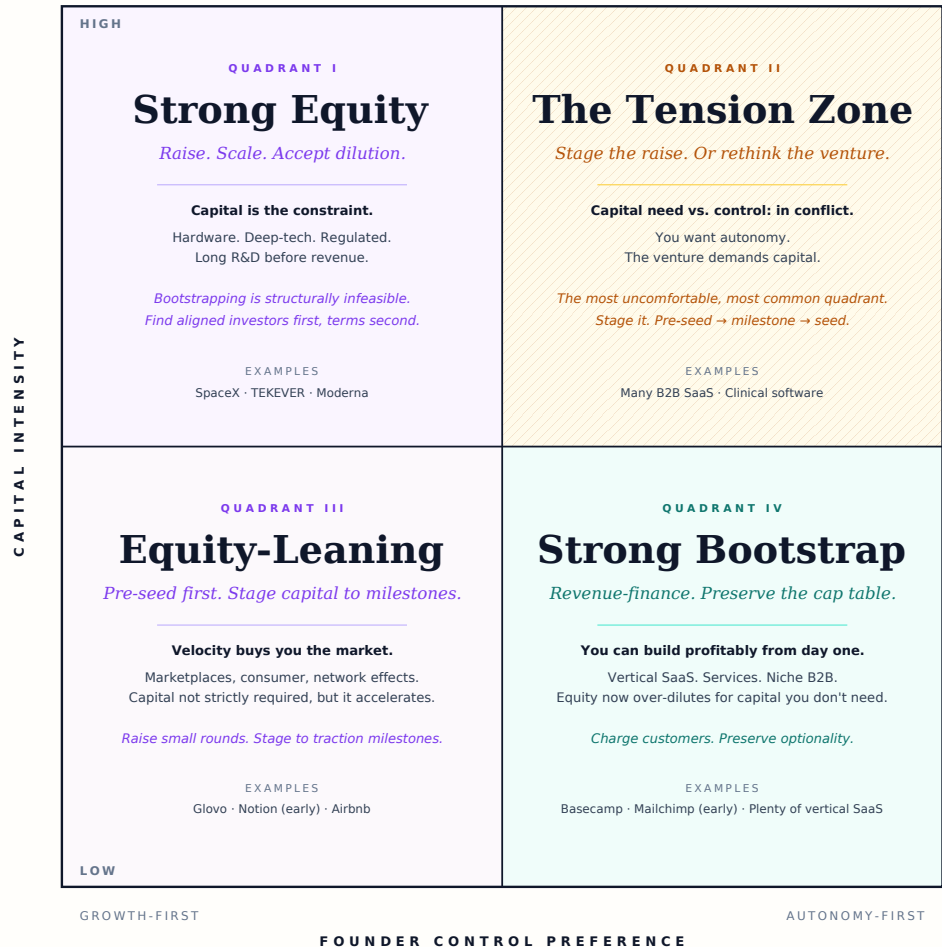
The Financing Compass

A directional decision tool for early-stage tech founders choosing between bootstrapping and equity.

THE QUESTION

When should a founder bootstrap, and when should they raise?

Founders rarely answer this with a structured method. Most pattern-match to recent stories, copy peers, or default to the first available capital. The Compass replaces that habit with a directional reading on two axes that, between them, account for most of the decision.



THE CENTRAL TRADE-OFF

*Equity buys access to scarce resources at the cost of agency drag and dilution.
Bootstrapping preserves control at the cost of growth velocity and resource access.*

GROUNDING IN AGENCY THEORY (JENSEN & MECKLING, 1976) AND RESOURCE DEPENDENCE THEORY (PFEFFER & SALANCIK, 1978)

TURN PAGE FOR THE CANVAS →

The Bootstrap-vs-Equity Canvas

Score each factor 1–5. Read where the framework lands. Decide with intent.

LEGEND

Higher score → Bootstrap

Higher score → Equity

Mixed direction

3 = neutral · 1 and 5 contribute most

DIMENSION A Founder & Team Who you are. What you absorb. A1 · Risk tolerance low → high / 5 A2 · Control preference growth → autonomy / 5 A3 · Domain experience first-time → exits / 5 A4 · Personal runway <3mo → 24+ mo / 5 Weight: 0.25 · Anchor: Wasserman	DIMENSION B Venture What it costs. How fast it earns. B1 · Capital intensity ↑ pulls Equity / 5 B2 · Time-to-revenue ↑ pulls Equity / 5 B3 · Existing traction ↑ pulls Bootstrap / 5 B4 · Defensibility / IP ↑ pulls Equity / 5 Weight: 0.30 · Anchor: Kaplan & Strömberg	DIMENSION C Market Where you compete. How fast. C1 · Market timing patient → winner-take / 5 C2 · Competitive density greenfield → contested / 5 C3 · CAC trajectory organic → paid / high / 5 — three factors — market is the most context-bound; add factors per sector if needed. Weight: 0.20 · Anchor: Hellmann & Puri	DIMENSION D Strategic What you actually want. D1 · Exit horizon ↑ pulls Equity / 5 D2 · Growth ambition ↑ pulls Equity / 5 D3 · VC value-add need ↑ pulls Equity / 5 D4 · Optionality ↑ pulls Bootstrap / 5 Weight: 0.25 · Anchor: Wasserman
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15 SCORES → ONE NET SCORE → ONE RECOMMENDED ZONE

STRONG BOOTSTRAP Net ≤ −1.0	Bootstrap-leaning −1.0 to −0.2	Tension / Ambiguous −0.2 to +0.2	Equity-leaning +0.2 to +1.0	STRONG EQUITY Net ≥ +1.0
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YOUR NET SCORE = (weighted Equity-pull) − (weighted Bootstrap-pull) · range −2.0 to +2.0

WHAT TO DO IN EACH ZONE

IF STRONG BOOTSTRAP Build profitably. → Charge customers from day one. Pre-payments, deposits, annual plans. → Apply for non-dilutive grants (IAPMEI, EIC, Horizon Europe). → Re-run the SFDF every 6 months. Watch B1, C1. Anchor: Winborg & Landström (2001)	IF BOOTSTRAP-LEANING Stage your option. → Bootstrap now, but set explicit traction milestones that justify a future raise. → Begin informal investor relationships now. Don't pitch. Build over time. → Strengthen team where domain experience is light. Anchor: Hellmann & Puri (2002)	IF EQUITY-LEANING Stage the raise. → Pre-seed first to hit a milestone. Seed only after de-risking the round. → Identify 8–10 target investors aligned to your stage and sector. → Cap dilution per round. Talk to portfolio founders. Anchor: Kaplan & Strömberg (2003)	IF STRONG EQUITY Raise with intent. → Capital intensity or market timing makes bootstrapping a liability. → Prioritise investor fit on value-add (network, hires, governance), not valuation. → Negotiate governance: board, vesting, protection. Anchor: Jensen & Meckling (1976)
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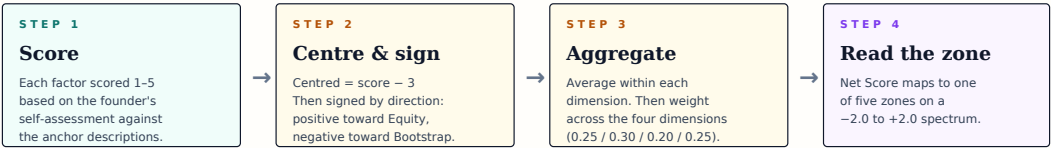
FOUNDER PROFILE Founder / Venture: Stage: Date:	RECOMMENDED ZONE ☐ Strong Bootstrap ☐ Bootstrap-leaning ☐ Tension / Ambiguous ☐ Equity-leaning ☐ Strong Equity Read the spectrum above based on your Net Score.
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How the Compass Works

The scoring method, a worked example, and the foundations behind the framework.

PART 1 · THE SCORING METHOD

From 15 scores to a single recommended zone.



THE FORMULA

Net Score = (weighted Equity-pull) – (weighted Bootstrap-pull)

PART 2 · WORKED EXAMPLE

A vertical-SaaS founder runs the Compass.

Solo technical founder. 8 years sector experience. Building a niche B2B SaaS for dental clinics.
€40k personal runway. Charging customers from month 3. No direct VC-backed competitor in the niche.

FACTOR	SCORE	DIRECTION	NET
A1 Risk tolerance	4	→ Bootstrap	–1.0
A2 Control preference	5	→ Bootstrap	–2.0
A3 Domain experience	4	→ Bootstrap	–1.0
A4 Personal runway	3	neutral	0.0
B1 Capital intensity	1	→ Bootstrap	–2.0
B3 Existing traction	4	→ Bootstrap	–1.0
C1 Market timing	1	→ Bootstrap	–2.0
D4 Optionality	5	→ Bootstrap	–2.0
... (7 more factors, mostly neutral)			

THE COMPASS READS

–1.22

net score on the –2.0 to +2.0 spectrum

Strong Bootstrap.

Build profitably. Equity now would over-dilute for capital this venture doesn't actually need.

TOP 3 DRIVERS

- A2 Control preference (autonomy-first)
- B1 Capital intensity (very low — pure software)
- D4 Optionality preference (preserve options)

PART 3 · FOUNDATIONS

The Compass stands on six anchors.

AGENCY THEORY Jensen & Meckling (1976) Why control and dilution matter. Equity creates principal-agent tension between founders and VCs.	RESOURCE DEPENDENCE Pfeffer & Salancik (1978) Why founders accept dilution. External investors offer scarce resources that bootstrapping cannot.	FINANCIAL BOOTSTRAPPING Winborg & Landström (2001) How founders can self-finance: customer pre-payments, factoring, grants, deferred compensation.
FOUNDER CHOICE Wasserman (2017) The throne vs. the kingdom. Risk tolerance, control, and growth ambition shape the financing path.	VC CONTRACTING Kaplan & Strömberg (2003) Empirical anchors for venture and market factors. Capital intensity and traction drive contract terms.	VALUE-ADD BEYOND CAPITAL Hellmann & Puri (2002) VCs add networks, governance, hires, and signalling — sometimes the real reason to raise.

METHOD: DESIGN SCIENCE RESEARCH (HEVNER ET AL., 2004; PEFFERS ET AL., 2007) · EVALUATION PER FEDS (VENABLE ET AL., 2016)
A directional decision-support tool, not a prescriptive algorithm. Final decisions belong with the founder and their advisors.

The Compass replaces pattern-matching with structured reasoning.

What it gives you is a directional reading. What you do with that reading is still entirely yours.